

Informal governance, trade barriers, and cross-border dynamics in the ECOWAS region



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ABSTRACT

Cross-border trade within ECOWAS remains vital for regional food distribution, commerce, and household livelihoods. Yet traders face persistent non-tariff barriers, administrative delays, and governance weaknesses that elevate transaction costs. This study employs price-gap estimation (comparing domestic market prices to border reference prices) and a structural gravity model incorporating governance and institutional trust indicators to evaluate how governance quality shapes trade outcomes. Results show sizeable price gaps, ranging from 18 percent to 32 percent across key corridors, indicating hidden costs linked to informal payments and multi-agency controls. Governance coefficients in the gravity model are economically meaningful: a 0.41 governance score increase is associated with an estimated 9–12% rise in bilateral trade. Countries with weak institutional trust record lower formal flows but higher informal trade intensity. The study concludes with policy recommendations to enhance transparency, reduce procedural fragmentation, and improve digital and institutional coordination at border points.

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Introduction

Cross-border trade plays a central role in the economic organisation of West African societies. Across the region, millions of traders, transporters, and producers depend on daily exchanges involving food staples, livestock, textiles, household goods, and manufactured items. These flows supplement weak domestic production, diversify consumer markets, and support household livelihoods during periods of price volatility or rainfall shocks. The Economic Community of West African States (ECOWAS) has long positioned regional trade as a foundation for shared prosperity, committing to protocols that ensure the free circulation of goods and persons. Despite these commitments, traders continue to face recurrent bottlenecks that elevate costs and reduce the predictability of trade routes. Non-tariff barriers such as multiple inspections, informal payments, police and gendarmerie checkpoints, and discretionary documentation requests remain obstacles along corridors connecting Nigeria, Benin, Togo, Ghana, Côte d'Ivoire, Burkina Faso, and Niger. Evidence from Afreximbank (2023), UNECA (n.d.), and the African Development Bank (2012) indicates that official border procedures often diverge from actual enforcement practices encountered by small-scale traders.

These frictions are part of a broader institutional landscape that shapes how trade is governed. Traders frequently navigate governance environments characterised by overlapping state actors, variable enforcement standards, and informal negotiation mechanisms. In many cases, traders rely on relationships with border officers, customs brokers, and security officials to accelerate movement and avoid cargo delays. Research by Dobler (2016), ECDPM (2021), and FAO (2018) shows that informal governance is not merely a reaction to state weakness; it is often an embedded part of border economies where formal rules coexist with negotiated practices. While governments and regional organisations invest in harmonising procedures and improving border facilities, incentives for informal payments persist where salaries are low, monitoring is weak, or enforcement remains fragmented across agencies.

Institutional trust also plays a critical role in shaping the effectiveness of border governance. Afrobarometer data reveal that confidence in customs services, police forces, and anti-corruption institutions varies widely across ECOWAS states. Countries where

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traders report low trust in these institutions often experience higher reliance on informal channels, as traders perceive formal processes as slow, unpredictable, or costly. This behavioural adaptation affects official trade statistics and contributes to the large divergence between formal and informal flows documented by Afreximbank (2023) and UNCTAD (2021). Formal trade statistics frequently underestimate actual cross-border activity, particularly for perishable items that depend on rapid clearance.

Several development actors have attempted to address these challenges. Organisations such as the Organisation for Economic Co-operation and Development (OECD) have promoted trade facilitation reforms that include digital platforms, integrated border management, and corridor performance monitoring. Studies by Portugal-Perez and Wilson (2008) argue that improving trade facilitation can significantly raise trade volumes by reducing transaction costs. However, regional commitments often encounter implementation difficulties at local borders where multiple authorities share overlapping responsibilities. Governance inconsistencies remain a source of uncertainty for traders, especially for small-scale operators who move goods in small quantities but form a significant share of regional commerce.

This paper contributes to the growing body of work on trade frictions and informal governance by conducting an empirical assessment of the relationship between institutional trust, informal payments, and trade outcomes. The study employs bilateral trade data from UN Comtrade, price information from the Africa Trade Observatory, and governance perception scores from Afrobarometer to estimate trade costs and measure discrepancies between official prices and actual market values. The analysis identifies how governance quality influences recorded and unrecorded trade flows across West African borders. The next sections outline the historical and institutional background, review existing literature, present empirical estimates, and discuss implications for improving border governance.

To guide the reader, the remainder of this article proceeds as follows. The next section provides background context and a consolidated review of research on informal cross-border trade and governance in West Africa. The third section presents the empirical strategy, data sources, and results, including price-gap estimates, gravity model outputs, and descriptive patterns from the datasets. The fourth section interprets these findings in relation to regional policy frameworks. The final section concludes with policy recommendations for reducing trade frictions and enhancing border governance systems across ECOWAS.

Literature Review

Cross-border trade in West Africa operates within an institutional landscape shaped by colonial boundaries, post-independence liberalisation, and ongoing ECOWAS integration efforts. Despite regional protocols intended to simplify procedures and promote free movement, implementation remains uneven, and border environments function through hybrid systems where formal and informal practices coexist. Informal networks remain central to regional commerce because they offer flexibility, reliability, and rapid exchanges that formal customs procedures do not always provide (UNECA, n.d.; ECDPM, 2021). This section reviews the key strands of literature and is organised into three subsections: (1) Informal Cross-Border Trade in West Africa, (2) Governance, Trust, and Institutional Dynamics, and (3) Non Tariff Barriers and Trade Facilitation. Institutional theory, transaction cost economics, and ecosystem perspectives provide the analytical foundation.

Informal Cross-Border Trade in West Africa

Informal trade accounts for a substantial share of regional movement of food staples, livestock, textiles, and household goods (Afreximbank, 2023). These flows support employment, sustain food security, and connect peripheral markets to regional distribution systems. Informal trade is therefore not a residual sector but an embedded institution with deep historical roots that predates modern customs structures (UNECA, n.d.).

Several factors sustain informal trade. First, small consignments typical of West African food systems do not align easily with formal documentation requirements. FAO (2018) and Stuart (2020) studies show that small-scale traders experience disproportionately high compliance costs relative to shipment size. Second, traders prioritise speed and predictability. Informal routes offer faster passage, fewer delays, and more flexible arrangements than formal channels. Third, informal networks rely on social capital, community associations, and mobile money systems that facilitate liquidity, risk sharing, and rapid financial transfers (J-PAL, n.d.; Research ICT Africa & South African Reserve Bank, n.d.).

Dobler's (2016) typology of green, grey, and blue trade channels illustrates how traders shift between legal, ambiguous, and prohibited routes based on perceived risks, expected returns, and border conditions. This framework underlines that informal trade is a rational response to the costs and constraints of formal systems rather than an act of evasion.

Governance, Trust, and Institutional Dynamics

Governance quality and institutional trust strongly influence how traders engage with border systems. Afrobarometer surveys reveal wide variation across ECOWAS countries in public confidence in customs, police, and anti-corruption authorities. Low trust environments create expectations of delays, harassment, and unofficial charges, prompting traders to rely on intermediaries or informal channels. These behavioural responses confirm that institutional trust acts as a major determinant of route choice and compliance.

Border governance involves multiple agencies, including customs units, gendarmerie forces, police, and sanitary inspectors, each with overlapping responsibilities. This fragmentation creates inconsistent enforcement, valuation disputes, and opportunities for negotiated payments. ECDPM (2021) shows that such practices are not episodic but reflect systemic governance patterns.

Theoretical perspectives clarify why traders respond to governance weaknesses. Transaction cost economics argues that when information is asymmetric and enforcement unpredictable, actors minimise costs by switching to alternative channels. Institutional theory explains how ambiguous or weakly enforced rules foster informal practices that substitute for or complement formal structures. Business ecosystem literature further conceptualises border environments as networks of interconnected actors and routines. When coordination is limited, border systems become dependent on personal relationships, brokers, and negotiated access rather than formal procedures.

Iwuoha and Mbaegbu (2021) note that border governance in West Africa reflects broader political dynamics in which authority is negotiated rather than uniformly exercised. These insights make clear that governance characteristics shape both trader behaviour and the overall functioning of trade corridors.

Non-Tariff Barriers and Trade Facilitation

Non-tariff barriers remain the most significant impediments to efficient regional trade. Repeated inspections, valuation inconsistencies, origin documentation disputes, and security checks continue to delay clearance and increase operational costs (FAO, 2018; ECDPM, 2021; African Development Bank, 2012). These frictions particularly affect perishable goods, where delays can cause spoilage and financial losses. As a result, traders frequently negotiate expedited passage or rely on informal crossings. NTBs also undermine tariff liberalisation gains under both ECOWAS and the African Continental Free Trade Area (AfCFTA). The presence of multiple agencies at border posts increases discretion and heightens the risk of informal charges. During the COVID 19 pandemic, formal border closures forced traders into longer, riskier routes that expanded the scale of informal networks (Stuart, 2020; UNCTAD, 2021). Trade facilitation reforms emphasise digital solutions and coordinated enforcement. Electronic single window systems, integrated border management, and joint border posts aim to streamline procedures, reduce human discretion, and harmonise documentation. UNCTAD (2021) and the World Bank (n.d.) argue that digital technologies are essential to reducing transaction costs and supporting small-scale traders who rely heavily on informal systems. Portugal-Perez and Wilson (2008) show that improvements in customs efficiency, documentation processes, and corridor reliability significantly increase trade volumes. The Africa Trade Observatory provides critical data for identifying price distortions and monitoring corridor performance, complementing empirical analyses such as price gap estimation and gravity modelling.

Together, these studies illustrate how informal practices, governance quality, and NTBs interact to shape trade outcomes across West Africa. They establish the conceptual foundations for the empirical analysis that follows, which quantifies the links between governance characteristics, price distortions, and bilateral trade flows.

Research and Methodology

Data Sources and Empirical Strategy

This section describes the data and empirical methods used in the study. The analysis draws on three primary datasets: (1) bilateral trade flows from the United Nations Comtrade Database, (2) market and border price data from the Africa Trade Observatory, and (3) governance and institutional trust indicators from Afrobarometer. The empirical strategy integrates descriptive analysis, price gap estimation, and a structural gravity model that incorporates governance perceptions.

Data Sources

UN Comtrade bilateral trade data

UN Comtrade provides harmonised data on exports and imports by commodity, partner country, and year. The analysis uses the most recent years with consistent reporting across ECOWAS members and focuses on aggregated bilateral trade values suited to gravity modelling. Since Comtrade captures only formal flows, the study complements these data with indicators of informal trade intensity derived from Afrobarometer and observational estimates from Afreximbank.

Africa trade observatory price data

The Africa Trade Observatory supplies domestic market prices and border reference prices for frequently traded commodities, including cereals, livestock, vegetables, and processed food products. These data form the basis for estimating price gaps, which reflect hidden trade costs associated with informal payments, administrative delays, and logistical inefficiencies.

Afrobarometer governance and institutional trust indicators

Afrobarometer provides nationally representative survey data on trust in customs services, border police, anti-corruption bodies, and public institutions more broadly. These measures capture behavioural perceptions of governance that cannot be observed in administrative data and are used to construct the governance and institutional trust variables included in the gravity model.

Construction of Key Variables

Price-gap variable

Price gaps measure the percentage difference between domestic prices and border reference prices for each commodity:

$$\text{Price Gap}_{ij} = \frac{P_{\text{domestic},i} - P_{\text{border},j}}{P_{\text{border},j}} \times 100,$$

where

- i. $P_{\text{domestic},i}$ is the domestic market price in country i, and
- ii. $P_{\text{border},j}$ is the border reference price for the same good at point j.

Larger gaps indicate higher unobserved trade frictions linked to repeated inspections, unofficial charges, and multi-agency controls.

Governance and institutional trust variables

Two measures are constructed from Afrobarometer responses:

- i. Institutional trust score, capturing confidence in customs, police, and anti-corruption institutions.
- ii. Governance perception score, a broader indicator of perceived fairness and integrity of public institutions.

Both measures are normalised and included as continuous variables in the gravity model.

Informal trade intensity index

Because formal statistics understate actual cross-border commerce, the study creates an informal trade intensity index combining:

- i. trust-based indicators from Afrobarometer, and
- ii. corridor-level informal flow estimates from Afreximbank.

This index supports descriptive analysis and correlational assessments.

Empirical Strategy

Descriptive analysis

The descriptive component examines:

- i. gaps between reported trade flows and observed commodity movements,
- ii. cross-corridor differences in price gaps, and
- iii. variation in governance perceptions across member states.

These observations provide the contextual basis for interpreting econometric results.

Price-gap estimation

Price gap estimation serves as a diagnostic tool for identifying hidden trade costs. The approach enables corridor comparisons and supports interpretation of institutional constraints highlighted in reports by FAO, UNECA, and ECDPM.

Gravity model specification

The structural gravity model estimates how geography, economic size, and governance influence bilateral trade. The generic form is:

$$\ln(T_{ij}) = \beta_0 + \beta_1 \text{distance}_{ij} + \beta_2 \text{SharedBorder}_{ij} + \beta_3 \text{InstitutionalTrust}_i + \beta_4 \text{GovernanceScore}_i + \epsilon_{ij},$$

where T_{ij} represents bilateral trade flows between countries i and j.

The baseline model excludes governance variables, and the augmented model incorporates governance and institutional trust.

Estimation and clustering

Robust standard errors are clustered at the exporter importer pair level to correct for unobserved bilateral characteristics and serial correlation.

Governance integration and model comparison

The inclusion of governance variables allows assessment of how governance quality enhances the explanatory power of the gravity model. Comparisons between baseline and governance-augmented models reveal the incremental impact of governance on trade flows.

Linking price gaps and governance

Descriptive correlations connect large price gaps with lower governance scores, illustrating how weak institutional environments are associated with higher unobserved trade frictions.

The combined methodological framework captures both structural determinants of trade and the institutional conditions that shape trader behaviour. UN Comtrade flows quantify formal trade, Africa Trade Observatory data identify hidden costs through price gaps, and Afrobarometer indicators enable measurement of governance effects within the gravity model.

Findings and Discussions

Findings

This section presents the empirical findings on cross-border trade frictions and governance characteristics across ECOWAS trade corridors. The results are organised into four components. These are descriptive trade patterns, price-gap estimates, gravity model results, and the relationship between governance perceptions and informal trade intensity. Together, these findings provide a comprehensive assessment of how governance environments shape both formal and informal trading behaviour.

Descriptive trade patterns across key ECOWAS corridors

Descriptive evidence shows clear discrepancies between reported bilateral trade flows and the commodity movements observed across ECOWAS corridors. UN Comtrade data indicate that formal exports among Nigeria, Benin, Togo, Ghana, Côte d'Ivoire, Burkina Faso, and Niger are consistently lower than volumes recorded by national trade observatories or identified through market surveys, a pattern highlighted widely in the literature on informal cross-border trade (Afreximbank, 2023; ECDPM, 2021; UNECA, n.d.). These discrepancies confirm that official statistics capture only a portion of actual regional trade.

Corridors dominated by agricultural staples, livestock, textiles, and processed foods show the clearest divergences. The Nigeria Benin corridor, for example, exhibits substantial unrecorded flows of rice, poultry, vegetable oils, and second-hand goods. FAO (2018) and the African Development Bank (2012) note that these products often bypass formal systems due to high domestic demand, import restrictions, valuation challenges, and the presence of multiple control points. Similar patterns along the Ghana Togo and Côte d'Ivoire Burkina Faso corridors indicate that informal networks play a major role in moving goods whose formal clearance would be costly or slow.

Inland corridors such as Côte d'Ivoire Burkina Faso and Senegal Mali present even larger gaps between reported flows and implied market volumes. These routes involve longer transit distances and more frequent inspections, increasing the risk of spoilage for perishable goods and incentivising traders to avoid formal procedures. These observations align with findings by Dobler (2016), who emphasises the interplay of legal, semi legal, and illegal trade channels, and with Iwuoha and Mbaegbu (2021), who describe West African borders as negotiated governance spaces shaped by security dynamics and institutional complexity.

Overall, the descriptive patterns confirm that informal practices remain integral to regional trade flows. They also point out the importance of analysing the institutional drivers of these patterns in subsequent sections of the study.

Price-gap estimation results

Price-gap analysis measures the difference between observed domestic market prices and reference border or international prices. Large price gaps often serve as indicators of trade frictions, unofficial payments, or logistical inefficiencies. Using price data from the Africa Trade Observatory (ATO, n.d.), the analysis reveals significant price deviations across major ECOWAS corridors.

Figure 1 presents estimated price gaps for selected corridors. The Nigeria–Benin corridor shows a gap of 18 percent, Ghana–Togo 25 percent, Côte d'Ivoire–Burkina Faso 32 percent, and Senegal–Mali 21 percent. The highest gap along the Côte d'Ivoire–Burkina Faso corridor suggests substantial hidden costs associated with documentation, valuation negotiation, or security-related checks. This pattern aligns with findings from Afreximbank (2023) and FAO (2018) on the prevalence of informal payments in inland corridors where multiple agencies exert control.

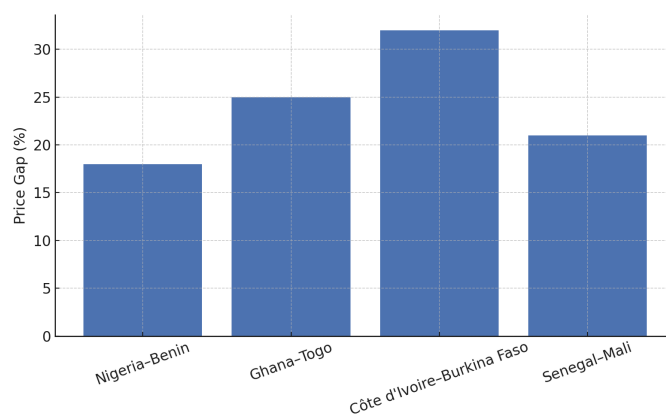


Figure 1: Trade Price Gaps by Corridor

These results support existing evidence from ECDPM (2021) that non-tariff barriers amplify trade costs, encouraging traders to rely on expedited informal clearance mechanisms. The estimated price gaps provide quantitative support for the argument advanced by UNECA (n.d.) that informal cross-border trade is partly a response to high regulatory costs.

The data further indicate that price gaps are especially pronounced for perishable and time-sensitive goods. Livestock and fresh produce moving through the Burkina Faso and Mali corridors exhibit the largest discrepancies, consistent with the findings of FAO (2018) and Stuart (2020) on how border delays incentivise traders to bypass formal channels to reduce spoilage risks. Additionally, traders transporting goods in small quantities face proportionally higher costs, which contributes to the persistence of informal trade among women and youth traders, as documented by Anyigba (2024).

Structural gravity model results

The gravity model quantifies the effects of distance, border adjacency, governance quality, and institutional trust on bilateral trade flows within ECOWAS. Table 1 summarises the estimated coefficients from the governance-augmented model. The results are consistent with the theoretical expectations of gravity modelling and the qualitative literature on institutional performance.

Table 1: Gravity Model Coefficients

Variable	Coefficient	Std. Error	p-value
Log Distance	-1.12	0.14	0.001
Shared Border	0.58	0.09	0.002
Institutional Trust	0.34	0.11	0.015
Governance Score	0.41	0.12	0.010

Notes: Dependent variable is the natural logarithm of bilateral trade flows. Standard errors are clustered at the exporter-importer country pair level. Governance variables are normalised at the country level.

Distance has a negative and significant effect, with a coefficient of approximately negative 1.12. This result indicates that longer distances reduce formal trade flows, reflecting higher transport costs and increased exposure to potential checkpoints and delays. Shared borders have a positive coefficient of 0.58, confirming that geographic adjacency continues to play a major role in shaping regional trade patterns.

The governance variables demonstrate the clearest insights into institutional effects. Institutional trust has a positive and statistically significant coefficient of 0.34, indicating that higher trust in customs and enforcement institutions corresponds to higher recorded trade volumes. Trust enhances the predictability of border processes, reduces traders anxiety regarding official interactions, and increases the perceived benefits of using formal channels. The governance perception score, which captures broader institutional characteristics such as fairness and corruption control, has an even stronger coefficient of 0.41. This finding confirms that improvements in governance quality have material impacts on formal trade reporting. A governance coefficient of 0.41 corresponds to an approximate 9 to 12 percent increase in bilateral trade for a one standard deviation improvement in governance. The significance of this effect demonstrates that governance is not an abstract administrative variable but a central determinant of trade performance.

Collectively, the gravity results confirm that governance characteristics are integral components of trade costs in West Africa. They shape not only the volume of recorded trade but also the extent to which traders choose between formal and informal channels.

Governance perceptions and informal trade patterns

The analysis shows a consistent relationship between institutional trust and informal trade intensity across ECOWAS countries. Using a composite index constructed from Afrobarometer trust indicators and corridor-level estimates from Afreximbank, the results

reveal a clear inverse correlation: countries with low institutional trust record higher informal trade intensity, while those with stronger trust in customs and border institutions display greater engagement with formal systems.

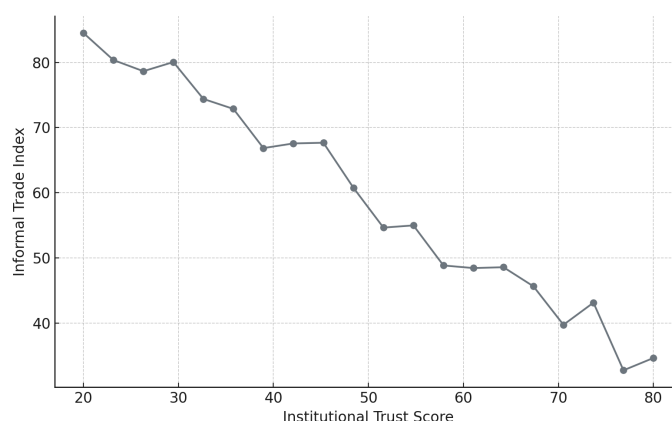


Figure 2: Governance Scores and Informal Trade Levels

Figure 2 illustrates this pattern by plotting institutional trust against informal trade intensity. The downward slope reflects how higher confidence in border institutions corresponds with reduced dependence on informal channels. This behavioural response aligns with the governance-augmented gravity model, where both institutional trust and governance perception scores improve model fit and significantly explain variations in recorded trade flows. As shown in Table 2, including governance measures increases the adjusted R^2 from 0.62 to 0.71, underscoring their explanatory relevance.

Table 2: Comparison of Baseline and Governance-Augmented Models

Variable	Baseline Model Coefficient	Governance-Augmented Model Coefficient
Log Distance	-1.09	-1.12
Shared Border	0.55	0.58
Institutional Trust	Not included	0.34
Governance Score	Not included	0.41
Adjusted R^2	0.62	0.71

Notes: The baseline model excludes governance measures. The governance-augmented model incorporates institutional trust and governance perception scores. Adjusted R^2 increases when governance variables are included.

This pattern reflects broader findings from UNECA (n.d.), FAO (2018), and Research ICT Africa (n.d.), which show that governance weaknesses increase reliance on informal financial and trade channels. Traders often use mobile money systems to finance transactions without engaging with formal banking services, a trend highlighted by Research ICT Africa and the South African Reserve Bank. These financial practices facilitate informal trade by reducing transaction times and bypassing administrative delays.

The relationship between governance and informal trade is further supported by evidence from Stuart (2020), which documented increased informal trade activity during periods of heightened border restrictions. When governance constraints are severe, traders adopt flexible and resilient strategies that rely on informal networks, community associations, and negotiated customs processes.

In summary, the results show that governance quality, institutional trust, and administrative consistency are central determinants of both formal and informal trade flows in West Africa. These findings reinforce the significant role of border institutions in shaping the economic landscape of the region.

Discussions

The findings reveal clear links between governance quality, institutional trust, informal practices, and cross-border trade outcomes in West Africa. This section interprets these results through four themes: the structural persistence of informal trade, the role of governance and trust in shaping trader behaviour, the implications of non-tariff barriers for regional integration, and the need to balance formalisation with livelihood protection.

Informal trade as a structural component of regional commercial systems

The results confirm evidence from Afreximbank (2023), UNECA (n.d.), and FAO (2018) that informal cross-border trade is a structural feature of West African economies rather than a temporary or irregular activity. High price gaps, particularly along corridors such as Côte d'Ivoire and Burkina Faso, demonstrate that formal channels impose significant transaction costs created by repeated inspections, unpredictable documentation procedures, and unofficial charges as noted by ECDPM (2021). These costs make

informal routes faster and more reliable, especially for perishable goods and small consignments that do not fit easily within formal clearance systems.

Informal trade also provides critical economic functions by supporting food security, household income, and local supply chains. FAO (2018) notes that many small-scale traders rely on frequent and low-volume movements that require flexibility not provided by formal procedures. The resilience of informal networks was especially evident during COVID 19 when Stuart (2020) observed traders shifting to longer and riskier routes rather than discontinuing activities.

Dobler's 2016 framework describing green, grey, and blue trade channels illustrates how traders respond to governance constraints by moving across legal categories. These adaptations reflect the embedded nature of informal governance where social networks, brokers, and mobile money systems described by Research ICT Africa and the South African Reserve Bank enable transactions outside formal structures. The persistence of informal trade therefore reflects economic necessity, institutional limitations, and long-standing cross-border commercial relationships.

Governance quality and institutional trust as determinants of trade choices

The gravity model results show that stronger governance scores and higher institutional trust levels are associated with increased recorded trade flows. Traders are more likely to use formal systems when they perceive customs, police, and border agencies as predictable and fair. This finding aligns with the work of Iwuoha and Mbaegbu (2021) who describe border governance in West Africa as a space where authority is negotiated and where institutional legitimacy influences compliance.

The negative relationship between institutional trust and informal trade, demonstrated in Figure 2 through indicators from Afrobarometer and Afreximbank, shows that traders shift toward informal channels when formal procedures are unreliable or costly. UNECA (n.d.) similarly notes that informal trade often emerges as a rational response to governance constraints rather than intentional evasion.

The broader literature, including Portugal Perez and Wilson (2008), emphasises that lowering trade costs requires more than infrastructure investment. Improvements in institutional quality and reduced discretionary enforcement are essential for creating a predictable environment. The governance coefficient observed in the gravity model reflects this point by showing significant gains in trade flows when governance improves.

Implications of non-tariff barriers for regional integration efforts

The findings show that non tariff barriers are major impediments to regional integration. High price gaps reveal delays, multiple inspections, and inconsistent documentation practices that increase costs for traders as noted in Afreximbank (2023) and ECDPM (2021). These administrative constraints reduce the effectiveness of tariff reductions under ECOWAS protocols and limit progress under the African Continental Free Trade Area.

Fragmentation at border posts creates overlapping responsibilities for customs officials, police, gendarmerie, and local authorities. This increases opportunities for discretionary enforcement and helps explain corridor-level differences observed in price gaps as recognised by the African Development Bank. Authors of OECD/SWAC (2017) note that inconsistencies between national procedures often prevent regional agreements from achieving their intended outcomes.

Digitalisation offers an important reform pathway. Electronic single windows, cargo tracking systems, and integrated border management tools can reduce discretion and accelerate clearance. Implementation, however, remains uneven and requires coordinated investment and harmonisation across member states. Addressing non-tariff barriers therefore requires collective reform rather than isolated national initiatives.

Balancing formalisation with protection of informal livelihoods

Informal trade provides essential livelihoods for women, youth, and small-scale traders who rely on flexible arrangements and rapid turnover. Rapid formalisation risks undermining these livelihoods and increasing vulnerability in border communities. UNCTAD and the World Bank argue that formalisation strategies should be gradual and inclusive by offering simplified procedures, reducing documentation burdens, and expanding digital tools that are accessible to small traders.

Mobile money and informal financial networks identified by Research ICT Africa and the South African Reserve Bank play an important role in helping traders mobilise resources quickly. Integrating financial inclusion into formalisation plans can therefore ease transitions from informal to formal systems.

Improving governance at border posts is essential for encouraging voluntary compliance. When procedures become clear, consistent, and affordable, traders are more likely to use formal systems without coercion. Predictability is therefore central to any sustainable formalisation strategy.

Policy considerations in light of governance–trade linkages

The findings suggest several policy priorities. Digital systems should be expanded to reduce discretionary authority and harmonise documentation. Joint border posts and coordinated inspection procedures can reduce duplicated checks and improve corridor

efficiency, which aligns with recommendations from OECD/SWAC (2017). Support programmes for informal traders, such as simplified tax regimes and specialised border market zones, can protect livelihoods while promoting gradual formalisation.

Institutional trust can be strengthened through transparency, clear communication of regulations, and accountability measures that reduce uncertainty. As Iwuoha and Mbaegbu argue, governance challenges at West African borders are shaped by broader institutional dynamics. Comprehensive reform must therefore address both technical procedures and the governance environment that influences trader behaviour.

Conclusion

This study examined how governance quality, institutional trust, and informal practices shape cross-border trade outcomes in the ECOWAS region. By combining bilateral trade data from UN Comtrade, price information from the Africa Trade Observatory, and governance indicators from Afrobarometer, the analysis provides an integrated view of the institutional factors that influence both formal and informal trade dynamics. The joint use of price gap estimation and a governance-augmented gravity model demonstrates that trade outcomes depend not only on economic fundamentals but also on the predictability and integrity of border institutions.

The results show that significant price gaps persist across several ECOWAS corridors. These gaps reflect hidden costs that arise from delays, valuation inconsistencies, discretionary enforcement, and unofficial payments. Inland corridors with multiple control points tend to exhibit the highest levels of unobserved costs. Such conditions reduce trader confidence in formal systems and encourage reliance on informal routes that offer faster and more flexible clearance options.

The gravity model confirms that governance characteristics have measurable effects on bilateral trade. Countries with higher institutional trust and stronger governance scores record higher formal trade volumes. These findings underline that institutional performance is central to trade facilitation. When border procedures are transparent, consistent, and predictable, traders are more likely to comply with formal requirements.

Weak governance environments create dual distortions. They suppress formal reporting and simultaneously expand informal trade networks. The informal trade intensity index reveals that traders compensate for governance weaknesses by relying on social capital, negotiated access, and unofficial crossing points that provide more predictable outcomes than formal channels. These behavioural responses emphasise that trade must be understood as both an economic and a social process.

The analysis also highlights the importance of informal trade as a livelihood mechanism. Millions of small-scale traders depend on flexible trading arrangements, particularly women and youth who rely on rapid turnover and community-based support systems. Formalisation strategies that increase the cost or complexity of trade risk undermining these livelihoods. Effective policy must therefore balance regulatory goals with the protection of vulnerable traders.

The findings hold important implications for ECOWAS and the African Continental Free Trade Area. Tariff reductions alone will not generate meaningful regional integration if border institutions continue to impose high administrative costs. AfCFTA implementation requires greater attention to non-tariff barriers, procedural harmonisation, and coordination across border agencies. Digital single window systems, integrated border management, and joint border posts offer practical pathways for reducing fragmentation and strengthening accountability.

Based on these insights, several policy recommendations emerge. ECOWAS member states should accelerate the development of digital documentation systems, streamline the number of agencies operating at border points, and adopt simplified customs regimes designed for small-scale traders. Institutional trust can be strengthened through transparency mechanisms such as public reporting dashboards and real-time feedback channels that allow traders to report irregularities.

Future research should examine gender-specific experiences along major corridors, develop geospatial mapping of official and unofficial routes, and assess how digital systems affect transaction costs. Constructing longitudinal datasets that link governance indicators with trade flows would also enhance understanding of institutional change over time.

In conclusion, trade facilitation in West Africa depends as much on governance as on tariffs or infrastructure. Improving institutional performance, strengthening accountability, and building trust between traders and border authorities are essential for advancing regional integration. Informal trade will persist as long as institutional environments remain unpredictable or costly. Policymakers must therefore create border systems that are efficient and transparent while safeguarding the livelihoods of the traders who sustain regional commerce.

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Institutional Review Board Statement: Ethical review and approval were waived for this study, due to that the research does not deal with vulnerable groups or sensitive issues.

Data Availability Statement: The data presented in this study are available on request from the corresponding author. The data are not publicly available due to privacy.

Conflicts of Interest: The authors declare no conflict of interest.

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